

SOFTWARE ARCHITECTURE & CONSULTING DEPARTMENT

Cost Estimation Template

Stage 10 delivery cost, pricing and client run-cost estimate

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Appendix K: Cost Estimation Template

Companion spreadsheet with live formulas: **Cost-Estimation-Template.xlsx**. Use the same structure on paper. Currency: _____ · Tax basis: _____ · Estimate date: _____.

1. Effort (delivery cost)

Activity	Role	Hours	Cost/h	Cost

2. Direct expenses

Item	Amount	Basis

3. Pricing calculation

Line	Formula	Value
Delivery cost (DC)	Σ effort + expenses	
Risk reserve	risk % x DC	
Selling price	(DC + reserve) / (1 − target GM)	
Gross margin %	(Price − DC) / Price	
Contribution margin	Price − DC − variable costs − reserve	
Stress GM at +25% effort	(Price − 1.25 x DC) / Price	

4. Client run-cost estimate (cloud)

Service / component	Quantity and size	Region	Monthly low	Monthly high	Calculator link and date

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Include compute, storage, database, network/data transfer, backup, monitoring, support plan, licences and tax. Present as a **range** and state it is an estimate; the client's bill depends on usage.

5. Three-year TCO of options

Cost	Option A	Option B	Baseline
Build (one-time)			
Infrastructure (3 yrs)			
Licences (3 yrs)			
Support and operations (3 yrs)			
Training			
Risk contingency			
Total			